ORAL ARGUMENT HELD FEBRUARY 8, 2024

No. 23-5129

IN THE UNITED STATES COURT OF APPEALS
FOR THE DISTRICT OF COLUMBIA CIRCUIT

ALPINE SECURITIES CORPORATION,

Plaintiff-Appellant,

SCOTTSDALE CAPITAL ADVISORS CORPORATION,

Plaintiff-Appellee,

v.

FINANCIAL INDUSTRY REGULATORY AUTHORITY, INC.,

Defendant-Appellee,

UNITED STATES OF AMERICA,

Intervenor Defendant-Appellee.

On Appeal from the United States District Court
for the District of Columbia

SUPPLEMENTAL BRIEF FOR INTERVENOR UNITED STATES OF AMERICA

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GLOSSARY

FINRA	Financial Industry Regulatory Authority, Inc.
SEC	Securities and Exchange Commission

INTRODUCTION AND SUMMARY

This Court has ordered supplemental briefing on the following questions: "(1) to what extent, if any, 15 U.S.C. § 78o(b)(9) is relevant to the issues presented in this appeal; and (2) on what occasions the provision has been used, and for what reasons." Order, Mar. 8, 2024 (per curiam).

The Securities Exchange Act generally requires that, in order to transact in securities, a broker-dealer must be a member of a registered national securities association (such as the Financial Industry Regulatory Authority, Inc. (FINRA)) or must transact solely on a registered exchange of which the broker-dealer is a member. *See* 15 U.S.C. § 78o(b)(8). In the provision on which this Court requested supplemental briefing, the Act further provides that the Securities and Exchange Commission (SEC) "by rule or order, as it deems consistent with the public interest and the protection of investors, may conditionally or unconditionally exempt" from that general membership requirement "any broker or dealer or class of brokers or dealers specified in such rule or order." *Id.* § 78o(b)(9).

Section 78o(b)(9) is relevant here insofar as it underscores the extent to which the Act gives the SEC regulatory authority over both the disciplinary decisions of a self-regulatory organization as well as the question whether membership in such organization is required under the statute. The authority vested in the SEC by Section 78o(b)(9) is thus of a piece with the powers given the Commission in the provisions discussed at length in our principal brief. As detailed there, the Act gives the SEC the power to decide whether a disciplinary sanction imposed by a private self-regulatory organization on one of its members should be affirmed, modified, or set aside in light of the public interest and the purposes of the statute, as well as the power to determine whether such a sanction should be in effect pending SEC review. Section 78o(b)(9) further authorizes the Commission to define the scope of the general statutory requirement to be a member of a securities association or to transact in securities only on an exchange of which a broker-dealer is a member. The Commission, not the private self-regulatory organizations, determines how to exercise the authority that Congress granted the Commission in Section 78o(b)(9).

The Commission has historically exercised its powers under Section 78o(b)(9) in relatively narrow circumstances. That the Commission has not found it desirable to exercise that authority more broadly does not, however, alter the significance of the provision as an element of the Commission's controlling role in the statutory scheme.

ARGUMENT

SECTION 78O(B)(9) UNDERSCORES THE COMMISSION'S CONTROLLING ROLE IN THE STATUTORY SCHEME.

A. 1. Our principal brief explains that "a private entity may aid a public federal entity that retains authority" over it. *Oklahoma v. United States*, 62 F.4th 221, 228-29 (6th Cir. 2023), *petition for cert. filed*, No. 23-402 (U.S. Oct. 13, 2023). No constitutional infirmity arises as long as "members of the [private entity] function subordinately" to a public agency that "has authority and surveillance over" its activities. *Sunshine Anthracite Coal Co. v. Adkins*, 310 U.S. 381, 399 (1940).

"In case after case," the courts have held that "the SEC's ultimate control over the rules and their enforcement makes the [self-regulatory organizations] permissible aides and advisors." *Oklahoma*, 62 F.4th at 229 (collecting cases); *see also Association of Am. R.Rs. v. U.S. Dep't of Transp.*, 721 F.3d 666, 671 n.5 (D.C. Cir. 2013) (explaining that the

SEC self-regulatory-organization cases "resemble *Adkins*" in light of the SEC's supervisory powers), *vacated and remanded on other grounds*, 575 U.S. 43 (2015).

These decisions have emphasized "the Commission's review of any disciplinary action" taken by a self-regulatory organization and the "independent" nature of that review. *Sorrell v. SEC*, 679 F.2d 1323, 1326 & n.2 (9th Cir. 1982) (quoting *R.H. Johnson & Co. v. SEC*, 198 F.2d 690, 695 (2d Cir. 1952)). Any final determination by a self-regulatory organization to discipline a member is subject to the SEC's independent review, on application or on the SEC's own initiative. 15 U.S.C. § 78s(d), (e); 17 C.F.R. §§ 201.420(a)(1), 240.19d-3.

An aggrieved party may request that the SEC stay any final sanction pending its review. 15 U.S.C. § 78s(d)(2); 17 C.F.R. §§ 201.401(d), 240.19d-2. The SEC can also issue a stay on its own initiative, 17 C.F.R. § 201.401(a), and it can issue a stay "summarily," without notice or response from FINRA, 15 U.S.C. § 78s(d)(2); 17 C.F.R. § 201.401(d)(2). Using that authority, the SEC may issue an interim stay while it considers whether to stay a sanction pending review. Indeed, Alpine itself has previously sought—and obtained—an SEC

stay of suspension from membership in FINRA. *See* Application of Alpine Sec. Corp. & Scottsdale Capital Advisors Corp. for Review of Action Taken by FINRA, Exchange Act Release No. 86719, 2019 WL 3933691, at *1 (Aug. 20, 2019). And, as it has before, the SEC is prepared to act expeditiously on any request for an interim stay in the event that FINRA's disciplinary proceedings were to result in a sanction against Alpine.

2. For the reasons discussed in our principal brief, these review-and-stay provisions, as well as other features of the statute, demonstrate that FINRA functions subordinately to the SEC consistent with the private-nondelegation doctrine. Section 78o(b)(9) further underscores the SEC's controlling authority by empowering the SEC, and the SEC alone, to determine whether to exempt a broker-dealer from the general obligation to maintain membership in a registered securities association or to solely transact on a registered exchange of which the broker-dealer is a member. The statute gives self-regulatory organizations no role in making that determination. Accordingly, insofar as Alpine's argument turns on the mistaken assumption that the SEC would lack authority to make that determination regarding the

general membership requirement, or the mistaken assumption that the Act grants a self-regulatory organization the power to make that determination itself, Alpine's argument fails for that reason (in addition to the reasons discussed in our principal brief).

B. 1. The Commission has used its rulemaking authority under Section 78o(b)(9) in two relatively narrow circumstances. Exchange Act Rule 15b9-1 exempts from the requirement to join a national securities association (or transact in securities only on an exchange of which the broker-dealer is a member) certain broker-dealers who carry no customer accounts, are members of one or more exchanges, and engage in certain limited types of off-member-exchange transactions—that is, transactions occurring otherwise than on an exchange of which the broker-dealer is a member (either in the over-the-counter market or on an exchange of which the broker-dealer is not a member). *See* 17 C.F.R. § 240.15b9-1. Until 2023, that rule exempted off-member-exchange transactions if the annual gross income from such transactions was no greater than a de minimis amount of $1,000 per year. The rule specified that a broker-dealer's proprietary trading for the broker-dealer's own account would not count toward that limit. *See* 88 Fed. Reg. 61,850,

61,850 (Sept. 7, 2023). That exemption was introduced at a time when the typical broker-dealer's trading occurred on the floor of a single exchange of which it was a member, and its off-member-exchange proprietary trading, if any, was rare and incidental to member-exchange transactions. *Id.* at 61,850, 61,872 n.257. Since then, technological changes relating to how orders are routed and executed have greatly increased the volume of off-member-exchange proprietary trading, *id.* at 61,851, and the SEC determined in 2023 that requiring association membership for broker-dealers who trade securities in this increasingly large segment of the market would reduce financial risk and thereby serve the public interest and the protection of investors, *id.* at 61,855-66.

Accordingly, as revised, Rule 15b9-1 no longer contains a de minimis threshold or a proprietary-trading exemption. Rule 15b9-1 now exempts only (i) transactions otherwise than on an exchange of which the broker-dealer is a member that result solely from orders being routed to such exchange by an exchange of which the broker-dealer is a member in order to comply with other requirements; and (ii) certain transactions otherwise than on an exchange of which the broker-dealer

is a member that are solely for the purpose of executing the stock leg of a stock-option order. The SEC exempted the first category to facilitate compliance with separate requirements. *See* 88 Fed. Reg. at 61,867. The SEC exempted the second category after determining that the narrow category of stock transactions at issue is so closely related to options orders on an exchange of which the broker-dealer is a member that the broker-dealer's conduct relating to the stock transaction outside the member exchange is properly overseen by the member exchange itself. *See id.* at 61,869.

Rule 15b9-2 exempts from the requirement to join a registered securities association (or transact in securities only on an exchange of which the broker-dealer is a member) certain broker-dealers who transact in certain derivative instruments in the over-the-counter market. 17 C.F.R. § 240.15b9-2. Managing "counterparty credit risk" in that market is aided by the ability of the dealers in that market to "enter into [a] master agreement[]" with a counterparty regarding all outstanding financial obligations between the dealer and the counterparty in that market. 63 Fed. Reg. 59,362, 59,363 (Nov. 3, 1998). Because some derivatives in that market are securities while others are

not, however, the application of the membership requirement had often led firms in that market to "separate their securities activities from their non-securities activities" using separate legal entities with separate counterparty credit risk agreements. *Id.* The SEC concluded that "permitting U.S. securities firms to conduct both securities and non-securities [over-the-counter] derivatives activities through a single legal entity" would "enable the firms to enter into more comprehensive netting arrangements with counterparties and thus more effectively manage credit risk." *Id.* at 59,364. The SEC concluded that exempting brokers in this market from the association membership requirement (or to transact in securities only on exchanges of which they are members) was "consistent with the public interest and the protection of investors" because of the expected benefits and the expected ability of SEC staff to directly supervise the "expected small number" of brokers eligible for the exemption. *Id.* at 59,381.

The Commission may also grant exemptions under Section 78o(b)(9) by order, and it has done so. For example, after the Act was amended to generally require that broker-dealers seeking to conduct off-member-exchange transactions join a securities association, the

Commission "granted a temporary exemption" to a broker-dealer "allowing it to do business while it appealed to the Commission" a decision of a securities association denying an application for membership. 51 Fed. Reg. 738, 739 (Jan. 8, 1986). The Commission's authority under Section 78o(b)(9) has been delegated to the SEC's Director of Trading and Markets, who has the power "[p]ursuant to … 15 U.S.C. 78o(b)(9) to review and, where appropriate, grant exemptions from the requirement of … 15 U.S.C. 78o(b)(8)." *Id.* (codified at 17 C.F.R. § 200.30-3(a)(46)). If the Director denies a requested exemption under this delegated authority, an aggrieved person may seek review by the Commission, and the Commission's final order is reviewable in the courts of appeals. *See* 17 C.F.R. § 201.430.

That procedure appears to have been seldom used. A compilation of SEC exemptive orders dating back to 1994 contains numerous orders exempting regulated entities from various other statutory or regulatory requirements using the SEC's various exemptive authorities, such as the SEC's broad exemptive authority under 15 U.S.C. § 78mm(a). *See* SEC, *Exchange Act Exemptive Notices and Orders*, https://www.sec.gov/rules/exorders (last visited Mar. 22, 2024). That list

does not appear to contain any orders under Section 78o(b)(9) regarding a broker-dealer's application to be exempt from the general membership requirement of Section 78o(b)(8). *Accord* SEC, Div. of Trading and Markets, *No-Action, Exemptive, and Interpretive Letters*, https://www.sec.gov/divisions/marketreg/mr-noaction#exorders (last visited Mr. 22, 2024) (compilation dating back to 2000).

2. No rule or order currently exempts broker-dealers like Alpine from the general membership requirement. Section 78o(b)(9) is relevant here because it underscores the self-regulatory organizations' subordinate role in this statutory scheme. Under that provision, the Commission has the sole authority to define the limits of the requirement that broker-dealers maintain their membership in a registered securities association or exchange. That grant of authority is not necessary to establish the statute's constitutionality. But it is one more respect in which the Exchange Act made the pre-existing self-regulatory organizations subject to controlling SEC oversight.

CONCLUSION

The judgment of the district court should be affirmed and the injunction pending appeal should be dissolved.

Respectfully submitted,

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March 22, 2024

CERTIFICATE OF COMPLIANCE

This brief complies with this Court's order of March 8, 2024, because it contains 2,068 words. This brief also complies with the typeface and type-style requirements of Federal Rule of Appellate Procedure 32(a)(5)-(6) because it was prepared using Microsoft Word 2016 in Century Schoolbook 14-point font, a proportionally spaced typeface.

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CERTIFICATE OF SERVICE

I hereby certify that before 4:00 p.m. on March 22, 2024, I electronically filed the foregoing brief with the Clerk of the Court for the United States Court of Appeals for the District of Columbia Circuit by using the appellate CM/ECF system and also caused paper copies to be delivered to the Court before 4:00 p.m. on that same day. Participants in the case are registered CM/ECF users, and service will be accomplished by the appellate CM/ECF system.

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